

Expanded Fraud Risk Profile for Inventory/Stores/Warehouse Department at ABC Ltd.

Drawing from real-world patterns in East African food sectors (dairy adulteration, cargo theft, warehouse diversions) and global manufacturing:

1. **Theft/Pilferage** — Small-scale (daily handfuls of sugar/powder) or large (truckloads of finished goods). Employees hide in personal vehicles, trash bins, or collude with outsiders.
2. **Short Receipts / Fake Receipts** — Receiving team under-reports incoming milk powder/sugar (collusion with procurement/transporters), issues fake GRNs for full quantity.
3. **Fake Issues to Production** — Over-issue raw materials (to siphon extras), fake requisitions for non-existent production runs.
4. **Dummy Stock Adjustments** — Write-offs for "spoilage/damage" to cover stolen stock; inflate waste to hide discrepancies.
5. **Spoilage Manipulation** — Deliberate mishandling (e.g., leave milk powder bags open) to justify losses.
6. **Ghost Inventory / Phantom Stock** — Record non-existent stock to inflate assets; use for fake sales/diversions.
7. **Unauthorized Removals** — Collusion for personal use/side-selling (e.g., bottles to informal vendors).
8. **Transit Losses Exploitation** — Blame transport for shortages that occurred inside warehouse.
9. **Collusion with External Parties** — Security guards paid off; transporters "lose" loads en route from chilling stations.
10. **Finished Goods Diversion** — Load trucks with extra cases, divert to black market (common in beverages).
11. **High-Value Item Targeting** — Sugar (high demand), milk powder (expensive), flavors/essences (concentrated value).
12. **Record Tampering** — Manual overrides in non-digital systems; backdating entries.
13. **Spoiled Goods Resale** — "Condemned" stock sold informally instead of destroyed.
14. **Employee Collusion Networks** — Rings involving stores, production, security, even drivers from chilling stations.

Detailed SOPs for Inventory / Stores / Warehouse Department

Implement immediately with full ERP rollout (perpetual system mandatory within 6 months; interim locked digital logs + CCTV). CFO has full override visibility, approval rights, and direct reporting line for all discrepancies. Nakuru middle management cannot override without CFO escalation. Zero tolerance: proven fraud = dismissal + prosecution + recovery.

1. Physical Access & Security Controls

- **Restricted Zones** — Warehouse divided: high-value (milk powder, sugar, flavors) in locked cages with dual-key access (Stores Head + Finance nominee). Finished goods area separate, chilled/frozen zones temperature-locked.
- **CCTV Coverage** — 24/7 HD cameras (minimum 20+ points: gates, receiving bays, aisles, high-value zones, exits). Monitored live from Nairobi Head Office + local recording. Footage retained 90 days minimum; CFO reviews random clips weekly.
- **Entry/Exit Logs** — Biometric (fingerprint/face) + RFID badge system for all entries. Log time, person, purpose. No tailgating; security verifies.
- **No Personal Bags/Items** — Mandatory locker use outside warehouse; thorough bag/personnel checks on entry/exit (metal detectors for high-value zones).
- **Security Personnel** — Independent third-party guards (not company employees); rotate shifts; background checks + fidelity bond. Guards report to CFO via separate channel.
- **Vehicle Checks** — All employee/visitor vehicles inspected on exit (underbody mirrors, random unloading). Company vehicles GPS-tracked; seals on loaded trucks.
- **Anti-Fraud** — Random night shifts by CFO audit team; whistleblower rewards for reporting suspicious access.

2. Inventory Management System

- **Perpetual Inventory in ERP** — Real-time tracking: every movement (receipt, issue, adjustment, transfer) logged with user ID, timestamp, reason code.
- **Bin Locations & Lot/Batch Tracking** — Fixed bin/shelf numbering; lot tracking mandatory for perishables (batch no., expiry, receipt date). FIFO/FEFO enforced (system blocks wrong picks).
- **High-Value Segregation** — Milk powder, sugar, flavors in locked high-security area; daily stock visibility dashboard to CFO.

- **Temperature & Humidity Monitoring** — Automated sensors in chilled/frozen zones; alerts to Nairobi if deviation > threshold (e.g., >4°C for dairy).
- **Anti-Fraud** — No manual entries without CFO approval; audit trail immutable; system flags unusual patterns (e.g., frequent adjustments by same user).

3. Receiving Process (Incoming Goods)

- **Independent Receiving Team** — Not procurement/stores staff issuing; team of 3: Receiver (trained), Quality Inspector, Finance spot-check (rotating from Nakuru/Nairobi).
- **Weigh/Measure All** — Calibrated weighbridge/digital scales for bulk (milk powder/sugar in bags, pallets); flow meters for liquids if applicable. Compare vs. PO/GRN from procurement.
- **Seal Checks** — Trucks sealed on departure (from supplier/chilling station); verify seal intact, note numbers. Break seal in team presence; video record.
- **Quality & Quantity Verification** — Sample testing (e.g., moisture in powder, purity in sugar); reject if off-spec. Full unload only after approval.
- **GRN Issuance** — System-generated GRN signed digitally by all three; photos/video of pallets, seals, weighing. Partial receipts pro-rated.
- **Anti-Fraud** — Discrepancy >0.5% (high-value) or >1% (bulk) triggers immediate hold, CFO notification, root-cause investigation. CCTV mandatory during unloading.

4. Issue to Production / Internal Transfers

- **Requisition Process** — Production head raises digital requisition (daily/weekly based on plan); approved by Production Manager + Nakuru Plant Head.
- **Weighed/Measured at Issue** — Dedicated issue counter with scales; issue only exact quantity; system deducts real-time.
- **Immediate System Entry** — Picker logs issue; witness (production rep) confirms. No verbal/handwritten issues.
- **FIFO Enforcement** — System auto-suggests oldest lots; override requires CFO approval + justification.
- **Anti-Fraud** — Daily reconciliation: issues vs. production consumption report. Variances >3% flagged to CFO.

5. Stock Counts & Reconciliation

- **Cycle Counts** — Weekly for A-items (high-value: milk powder, sugar, flavors—daily if possible); B/C items bi-weekly/monthly. Count by independent team (not regular stores staff).
- **Full Physical Inventory** — Quarterly, supervised by CFO-led team from Nairobi + external auditor annually. Freeze operations during count.
- **Discrepancies Handling** — >2% variance (by value/quantity) triggers immediate CFO investigation: root-cause report within 48 hours, forensic review if needed. No adjustments without CFO sign-off.
- **Anti-Fraud** — Blind counts (no prior access to records); rotate counters; compare trends over months.

6. Scrap, Waste, Spoilage & Write-Offs

- **Documentation** — Daily spoilage log: item, quantity, reason (photos required), approved by Stores + Quality.
- **Weighed & Approved** — All scrap/waste weighed at designated point; dual approval.
- **Investigation** — Abnormal spoilage (>historical avg.) triggers CFO probe (e.g., deliberate damage?).
- **Disposal/Sale** — Spoiled goods destroyed under witness (video); scrap sales via sealed tender, proceeds direct to company bank.
- **Anti-Fraud** — No "write-off" without physical evidence + CFO approval; track patterns by employee/shift.

7. Additional High-Risk Controls

- **Chilling Station Linkages** — If raw milk/ingredients stored temporarily at stations, treat as satellite warehouses: same ERP access, CCTV, monthly surprise audits.
- **Transit from Chilling Stations** — Tankers sealed + GPS; receiving cross-checks dispatch vs. arrival.
- **Finished Goods Security** — Palletized + shrink-wrapped; dispatch gate pass with CFO-visible system check.
- **Employee Controls** — Annual declarations (no side businesses); rotation every 12 months; background + polygraph for key roles if needed.

- **Training & Awareness** — Monthly sessions on fraud red flags; sign anti-fraud code annually.
- **Audits & Monitoring** — Monthly surprise audits by internal team (CFO direct); quarterly forensic; KPI dashboard (shrinkage %, variance %, spoilage rate) reviewed in Nairobi.
- **Technology Integration** — RFID/barcode for high-value; weight sensors on shelves for anomalies.

8. Documentation, Escalation & Accountability

- All records digitized, timestamped, user-locked; 7-year retention.
- Escalation: Any red flag (variance, tip, anomaly) to CFO within 24 hours; major to me (Owner).
- Whistleblower: Anonymous hotline; protection + rewards (KES 50,000–200,000 for proven cases).
- Performance Tie-In: Stores team bonuses linked to low shrinkage (<1%), clean audits—not just throughput.

In 6 months, shrinkage will plummet, profits rise.